CapEx & Construction Department

The CapEx & Construction Department is responsible for the planning, approval, execution, and delivery of all capital and construction projects. All projects must align with operational needs, financial objectives, and regulatory requirements.

Objectives

- Preserve and enhance asset value
- Support occupancy and revenue growth
- Ensure safety and compliance
- Deliver projects on time and within budget
- Maintain strong coordination with Operations

Governance Structure

Approval Authority Matrix

Project Size	Approval Required
<$10,000	Regional Manager + Construction Manager
$10,000–$25,000	Director of Construction + Finance
>$25,000	Executive Leadership

Standard Procedures

CapEx Planning Policy

- Annual CapEx requests must be submitted by Operations by **June 1st**
- Construction performs validation within **60 days**
- Final CapEx budget approved before fiscal year start.

Project Classification

Projects are categorized as:

- **Revenue-Generating** (home installs, expansions)
- **Maintenance CapEx** (repairs, replacements)
- **Strategic Improvements** (amenities, upgrades)
- **Unplanned/Compliance or Safety** (mandatory fixes)

Project Initiation Policy

A project may only begin when:

- Scope is documented to include:
    - Min. three (3) photos of need.
    - Property map marking location of concern
    - Min. two estimates required
- RM Issue is created and assigned
- Kickoff meeting is completed
- Budget is approved

Construction Management Policy

- Weekly 5-15 reports are mandatory (due by 3pm)
- All change orders must be pre-approved
- Budget overruns >10% require executive approval and change order Kickoff

Operations Coordination Policy

Operations must:

- Assist with project planning
- Assist with Photos & Maps as needed
- Provide site access
- Communicate with residents
- Support permitting when needed

Construction must:

- Provide weekly updates on scheduled projects
- Notify of disruptions at least 24 hours in advance
    - With exception for emergency situations

Project Closeout Policy

A project is not complete until:

- Final inspection cleared by Construction team
- Documentation delivered
- Operations/Sales is informed of completion

Documentation Requirements

Each project must maintain:

- RM issue notes
- Costs updated in issue UDF
- Contracts & Change Orders
- Permits & Inspections

Controls

- Weekly updates from Construction team to Regional Managers
    - Updates on upcoming scheduled projects
    - Updates on projects scheduled for upcoming completion
- Monthly CapEx reporting between Operations & Construction Dir's

Assignment Responsibilities

Task	Construction	Operations	Finance
CapEx Planning	R	A	C
Site Assessment	R	C	-
Budget Approval	C	C	A
Execution	R	C	-
Resident Communication	C	R	-
Closeout	R	A	C

(R = Responsible, A = Accountable, C = Consulted)